

Ownership of Joint Housing Act, 1997

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Joint Ownership of Housing Act, 2054 (1997)

Date of Royal Seal and Publication

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Amending Acts

Date of Certification and Publication

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.10.7
2. Some Nepal Acts Amendment Act, 2072 (2015) 2072.11.13

Act Number 15 of the year 2054 (1997)

An Act Made to Provide for Joint Ownership of Housing

Preamble: Whereas, due to the pressure of excessive population in the urban areas of Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the price of land has increased, resulting in a situation where the city dwellers are deprived of housing facilities; therefore, it is desirable to develop joint housing, sell and distribute affordable housing units in an accessible manner to resolve the existing housing problem and make provisions for systematic settlement, and to make provisions relating to the rights and duties of the owners of such housing units;

Be it enacted by Parliament in the twenty-sixth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Joint Ownership of Housing Act, 2054".

(2) This Act shall commence on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Joint Housing Building" means a building with two or more floors constructed on any land containing two or more housing units, and that term also includes two or more buildings of a similar nature constructed on the same land and named as a block, pocket, or other similar name, and the land, compound, and complex occupied by such buildings. (b) "Housing Unit (Apartment)" means any unit of such a building, having one or more rooms, along with common areas and facilities that can be independently used in a joint housing building. (c) "Founder" means an organized institution registered under the prevailing law, which has obtained approval pursuant to Section 5 for constructing and operating a joint housing building. (d) "Housing Unit Owner" means a person or organized institution who purchases, takes on lease (rent), or otherwise occupies a housing unit, subject to the conditions mentioned in the agreement made pursuant to this Act. (e) "Common Areas and Facilities" means the common areas and facilities referred to in Section 16. (f) "Limited Common Areas and Facilities"

means areas and facilities constructed or kept for the exclusive use of only some housing unit owners. (g) "Agreement" means an agreement made between the Founder and the person taking the housing unit regarding the purchase, lease, or other form of occupation of the housing unit. (h) "Committee" means the Housing Management Committee formed pursuant to Section 24 for the supervision, management, and operation of the joint housing building. (i) "Authorized Officer" means the body or officer designated by the Government of Nepal by notification in the Nepal Gazette. (j) "Prescribed" or "as prescribed" means prescribed or as prescribed by the rules made under this Act. Chapter - 2 Provision Relating to Approval of Joint Housing Building 3. Not to Construct Joint Housing Building Without Approval: Except where otherwise provided in other prevailing laws, no one shall construct or cause to be constructed a joint housing building without obtaining the approval of the Authorized Officer. 4.

Application for Approval: The organized institution wishing to construct and operate a joint housing building shall submit an application to the Authorized Officer in the prescribed format, along with the proposed plan, structural design, area and ownership details of the land, procedure for sale and distribution of housing units, details of common areas and facilities, and the operational plan of the joint housing building, for approval to construct and operate the joint housing building. 5. To Give Approval: Upon receipt of an application pursuant to Section 4, if upon making necessary inquiries the Authorized Officer finds that the procedure as prescribed has been completed, he/she shall grant approval to the applicant to construct and operate the joint housing building. 6. May Call for Further Details or Documents: If, during the course of inquiry pursuant to Section 5, the Authorized Officer finds any further details or documents relating to the joint housing building necessary, he/she may call for such details or documents from the applicant, and it shall be the duty of the concerned applicant to submit the details or documents so called for immediately. 7. Not to Pass Plan Without Approval: Notwithstanding anything contained in the prevailing law, the body authorized to pass plans under the prevailing law shall not pass the plan for constructing a joint housing building without the approval of the Authorized Officer under this Act. Chapter - 3 Sale, Ownership and Transfer of Housing Unit 8. Sale and Other Arrangements of Housing Unit: (1) The Founder may sell a housing unit by receiving the full amount or by receiving payment in installments. (2) The Founder may give a housing unit to any person or institution for occupation on lease or in any other manner. (3) While selling or giving for occupation on lease or in any other manner pursuant to sub-section (1) or (2), an agreement as mentioned in Section 15 must be made. (4) While selling or giving for occupation on lease or in any other manner pursuant to sub-section (1) or (2), the Founder shall also give a certificate to the housing unit owner in the prescribed format. 9.

Ownership and Use of Housing Unit: (1) After the housing unit owner has paid the entire amount to the Founder pursuant to this Act, the owner shall have full ownership of such housing unit. (2) The housing unit owner shall be entitled to fully use the housing unit, subject to the conditions mentioned in the agreement. 10. Housing Unit Owner May Sell or Lease Housing Unit: Subject to Section 11 and the conditions mentioned in the agreement, the housing unit owner may sell, lease, transfer ownership by any other means, or give for occupation to anyone else the housing unit owned by him/her. 11. To Comply with Agreement: (1) If the housing unit owner sells, leases, or allows occupation of the housing unit owned by him/her in any other manner, the person purchasing, taking on lease, or occupying in any other manner shall comply with the matters mentioned in the agreement made with the Founder concerning such housing unit, this Act, or the rules and procedures made under this Act. (2) Employees and workers working in the joint housing building shall comply with the matters mentioned in this Act, or the rules and procedures made under this Act, and the agreement. 12. Circumstances Where Transfer of Ownership of Housing Unit is Not Allowed: (1) Notwithstanding anything contained elsewhere in this Act, if any amount payable by a person or institution in respect of a housing unit sold to such person or institution remains outstanding, such person or institution

may only use such housing unit, subject to the conditions mentioned in the agreement. (2) Until the outstanding amount pursuant to sub-section (1) is paid, the ownership of the housing unit occupied by such person or institution shall not be transferred to anyone else in any manner. 13. Not to Sell Without Consent: When a housing unit owner sells the housing unit to anyone, the body responsible for registration under the prevailing law shall not pass the written registration of the sale of such housing unit unless the Founder or the Committee gives written consent stating that the housing unit owner has no outstanding amount, fee, charge, levy, etc., payable to the Founder or the Committee. 14. To Give Consent: If a housing unit owner needs to sell the housing unit to someone else and requests consent pursuant to Section 13, the Founder or the Committee shall give written consent for the sale of such housing unit if the person has no outstanding amount, fee, charge, levy, etc., payable. Chapter - 4 Provision Relating to Agreement 15.

To Make Agreement: (1) While selling a housing unit, giving it on lease, or allowing occupation in any other manner, the Founder shall make an agreement with the person or organized institution purchasing, taking on lease, or taking for occupation in any other manner. (2) The agreement made pursuant to sub-section (1) shall clearly mention the following matters:- (a) Names and addresses of the parties to the agreement. (b) Location of the land on which the joint housing building is built, ownership of the land, area, plot number of the land, and other details relating to the land and the joint housing building. (c) Housing unit number, area of the housing unit, number of rooms in the housing unit, facilities, and other necessary details relating to the housing unit. (d) Details of whether the housing unit is sold, leased, or given for occupation in any other manner. (e) If the housing unit is to be sold, the price thereof and the payment procedure. (f) If the housing unit is to be given on lease or for occupation in any other manner, the duration thereof and details relating to rent. (g) Details relating to the common areas and facilities and limited common areas and facilities that the housing unit owner may collectively use in a proportionate manner. (h) Conditions to be observed while using the housing unit, and the acts permissible and not permissible within the housing unit. (i) Common expenses and liabilities to be borne for the repair, maintenance, and supervision of common areas and facilities. (j) Matters relating to the rights, duties, and obligations of the housing unit owner and the Founder. (k) The percentage of the joint housing building that falls within that housing unit. (l) The amount payable for insurance. (m) Other necessary matters. Chapter - 5 Collective Interest and Liability 16. Common Areas and Facilities: A housing unit owner may use the following common areas and facilities in a proportionate manner, provided that it does not adversely affect the rights of other housing unit owners:- (a) The land of the joint housing building. (b) Foundation, pillars, girders, beams, supports, walls, fences, roofs, halls, corridors, lobbies, staircases, fire escapes, and entrances and exits of the joint housing building. (c) Basement, cellar, courtyard, garden, parking area, and warehouse. (d) Place for keeping generators and place for security guards. (e) Parts of the building used for electricity, gas, cold and hot water supply, heating or air conditioning. (f) Means of collective use such as elevators, pumps, tanks, motors, fans, garbage containers. 17.

Not to Divide: Common areas and facilities and limited common areas and facilities shall not be partitioned or divided, except as provided in this Act or the operational procedure made under this Act. 18. To Bear Common Expenses: The housing unit owner shall pay to the Founder or the Committee the common expenses incurred as mentioned in the agreement, in proportion to the share of facility used by him/her, for the operation, maintenance, repair, sanitation, and supervision of the common areas and facilities used by him/her. 19. Not to Refuse: The housing unit owner shall not refuse to bear the common expenses payable by him/her as mentioned in the agreement. 20. May Restrict: If the housing unit owner fails to pay the amount payable to the Founder or the Committee on account of common expenses, the Founder or the Committee may restrict the housing unit owner from using any of the services or facilities among the common areas and

facilities and limited common areas and facilities used by him/her, or may prohibit the transfer of such housing unit to anyone in any manner until the outstanding amount is paid. 21. Insurance of Joint Housing Building: The Founder or the Committee shall compulsorily obtain insurance for the joint housing building against natural calamities. The entire cost incurred for such insurance shall be borne by the housing unit owners proportionately as mentioned in the agreement. 22. If Joint Housing Building is Destroyed or Damaged: (1) If the joint housing building is completely damaged from any cause whatsoever, the rights of all housing unit owners in the land on which such building is situated shall remain in a proportionate manner. (2) If the joint housing building is partially damaged and can be repaired or rebuilt, the Founder or the Committee shall repair such damaged building within the prescribed period from the date of such damage. Chapter - 6 Management of Joint Housing Building 23. Preservation, Supervision, Repair and Maintenance of Joint Housing Building: The duty of preservation, supervision, repair, maintenance and sanitation of the joint housing building and common areas and facilities shall be of the Founder. 24.

Housing Management Committee to Carry Out Preservation, Supervision, Repair and Maintenance: (1) Notwithstanding anything contained in Section 23, if the Founder sells all housing units owned by him/her, or if all housing unit owners of a joint housing building express written consent to operate the joint housing building themselves and submit it to the Founder, or if the Founder organized institution is dissolved or the Founder person becomes insolvent and unable to pay debts to creditors and unable to carry out preservation, supervision, repair, maintenance and sanitation of the joint housing building and common areas and facilities, the housing unit owners shall form a Housing Management Committee from among themselves for the purpose of carrying out the preservation, supervision, repair, maintenance and sanitation of the joint housing building and common areas and facilities, and the procedure for the meeting of such Committee shall be determined by the Committee itself. (2) Upon formation of the Committee pursuant to sub-section (1), all tasks and activities stated to be performed by the Founder under this Act or the rules made under this Act shall be performed by that same Committee. 25. May Charge Fee, Levy, and Charge: For the purpose of carrying out the operation, preservation, supervision, repair, maintenance, and sanitation of the joint housing building and common areas and facilities, the Founder or the Committee may collect fees, levies, and charges from the housing unit owners as mentioned in the agreement. Chapter - 7 Miscellaneous 26. May Construct Joint Housing Building for Private Use: (1) If anyone wishes to construct a joint housing building for private use, he/she shall, stating the same, submit an application to the Authorized Officer pursuant to Section 4 and obtain approval. (2) Notwithstanding anything contained elsewhere in this Act, the provisions of other Chapters of this Act, except Chapter 2, shall not apply in relation to the operation, management and other matters of a joint housing building constructed for private use pursuant to sub-section (1), and the operation of such joint housing building shall be in accordance with the agreement made among the persons constructing such building. 27.

Acts Not to be Done: (1) The Founder or the Committee shall not do the following acts:- (a) To construct a joint housing building contrary to the standards approved by the Authorized Officer or the level determined by him/her. (b) To construct such building contrary to the plan, structural design, and scheme approved for the construction of the joint housing building. (c) To act in a manner contrary to the interests of the housing unit owners. (2) The housing unit owner shall not do the following acts:- (a) To adversely affect the security of the joint housing building area and the security and health of other housing unit owners. (b) To do any act that may reduce the value of the joint housing building. (c) To carry out additional construction, demolition, or excavation in his/her housing unit. (d) To subdivide or fragment and sell the housing unit. (e) To deprive other housing unit owners of the use of common areas and facilities and limited common areas and facilities. 28. Penalty: (1) If anyone constructs a joint housing building without obtaining approval pursuant to Section 5, the

Authorized Officer may fine such person or institution up to one hundred thousand rupees and also order the demolition of the building so constructed. (2) If a joint housing building is damaged due to the failure of a Founder to construct the joint housing building in accordance with the plan, structural design, scheme, and the standards and levels determined by the Authorized Officer, such Founder shall be liable to a fine of one hundred thousand to five hundred thousand rupees, and if it is proved that such joint housing building collapsed due to technical defects causing loss to anyone, the aggrieved person may also claim reasonable compensation from the Founder. (3) If anyone intentionally violates any order or directive issued pursuant to this Act or the rules made under this Act, or fails to perform any task or activity that he/she is required to perform, or performs any task or activity that he/she is prohibited from performing, the Authorized Officer may, considering the gravity of the offense, impose a fine up to fifty thousand rupees on such person, and if such offense is repeated, an additional fine at the rate of five thousand rupees for each subsequent offense shall also be imposed. 29.

May Exempt: (1) The Government of Nepal may, by notification in the Nepal Gazette, exempt partially or fully the registration fee payable according to the prevailing law while selling or purchasing housing units. (2) The Government of Nepal may, by notification in the Nepal Gazette, exempt partially or fully the tax, revenue, and fee payable according to the prevailing law in the course of operating a joint housing building. 30. Provision Relating to Defense: If it becomes necessary to conduct any kind of case or legal proceedings on behalf of the joint housing building against any other person, the Founder or the Committee shall conduct the defense-related proceedings in such case, matter, or legal proceedings. 31. Limitation: A complaint for any offense under this Act shall be lodged within one year from the date of commission of such offense and within three months from the date of knowledge thereof. 32. Appeal: A person dissatisfied with a decision made by the Authorized Officer pursuant to this Act may file an appeal in the concerned amended by the Some Nepal Acts Amendment Act, 2072. District Court within thirty-five days from the date of such decision. 33. May Issue Directive: For the proper operation of the joint housing building, the Authorized Officer may, if deemed necessary, issue directives to the Founder or the Committee, and it shall be the duty of the concerned Founder or Committee to comply with such directives. 34. To be According to Prevailing Law: Matters provided for in this Act shall be according to this Act, and other matters shall be according to the prevailing law. 35. May Make Rules: The Government of Nepal may make necessary rules for the implementation of the objectives of this Act. 36. May Formulate and Implement Operational Procedure: For the operation and management of the joint housing building, the Founder or the Committee may formulate and implement an operational procedure on the following matters, so long as it is not inconsistent with this Act or the rules made under this Act:- (a) Matters relating to the preservation, repair, and maintenance of the joint housing building. (b) Matters to be complied with by housing unit owners while using the housing unit. (c) Matters relating to the service, terms, and facilities of employees working in the joint housing building. (d) Matters relating to other things necessary for operating the joint housing building.